Q17

The parent company's financial statements reflect only those transactions and balances that the parent was directly associated with. [1]

It is possible that the parent will have no direct involvement with group trading activities and so the financial statements might show little more than investments in subsidiaries and dividend receipts and payments. [1]

The consolidated financial statements would reflect the group as an economic and trading entity, which would be far more helpful to the shareholders. [1]

Group accounts show totals for revenues and expenses and reflect the group profit, adjusted to eliminate intercompany transactions. [1]

The consolidated statement of financial position enables shareholders to understand the manner in which their equity has been invested. [1]

[Total 5]

Commentary:
This question was answered well by many candidates, but candidates who struggled with the question tended to score very poorly.

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